Pre-Class Assignment: Stevenson Essay

"What's There to Fear in a World with Transformative AI?"

ECON 470 — Microeconomics of Artificial Intelligence

Spring 2026

Reading: Betsey Stevenson, "What's There to Fear in a World with Transformative AI? With the Right Policy, Nothing," *The Digitalist Papers*, Vol. 2 (2024). Available at digitalistpapers.com/vol2/stevenson.

Instructions: Answer each question in 1–3 sentences. These are reading-check questions — they should be quick if you read the essay. You must submit this assignment in person. The assignment must be handwritten. No photocopies will be accepted.

Why we do this: A team of your classmates is presenting this essay and leading a 10-minute discussion afterward. These questions ensure you arrive ready to participate.

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1. Stevenson identifies three fundamental challenges that AI poses for society. What are they?
2. The essay argues that the critical variable for labor displacement is not *whether* jobs are lost but something else. What is it?
3. Stevenson proposes a "digital dividend." In one or two sentences, what is it and how does she distinguish it from traditional welfare?
4. The essay discusses the Japanese concept of *ikigai*. What point does Stevenson use it to make about meaning and well-being?
5. Pick one of Stevenson's policy recommendations that you found either compelling or unconvincing. State it in one sentence, then say why you reacted the way you did.